



Request for Action

To
City Council

Item Number
7.4

Meeting Date
June 15, 2026

Prepared By
Zack Carlton, Community Development Director

Item Description
Ordinance Amendment and Conditional Use Permit:
Data Center, Michael Margulies, 19178 Industrial
Blvd NW

Reviewed by
Chris Leeseberg
Cal Portner
Justin Dunford

Action Requested

Open the public hearing, receive public comment, and continue the hearing to July 6, 2026.

Background/Discussion

The applicant, Michael Margulies, representing Elk River Capital, LLC (Swervo Development), has submitted two land use applications in support of a proposed data center at 19178 Industrial Blvd NW. The property is located within the city's I-I (Light Industrial) zoning district and is approximately 3.23 acres. The property includes an existing 62,000 SF industrial building that operated as an injection molding facility until late last year.

The applicant proposes modifying the existing building to house a data center. Proposed changes include demolishing 5,000 SF of the building to improve the loading dock area and adding cooling equipment along the south-west corner of the building. The data center proposes closed-loop cooling, which does not require large volumes of water but instead uses glycol-based cooling equipment to keep the technology at a safe operating temperature.

Submitted applications include an ordinance amendment to add data centers as an allowed use within the zoning district and a Conditional Use Permit (CUP), anticipating that the use would require a CUP for zoning approval.

Ordinance Amendment Application

As data centers are not currently allowed in the I-I zoning district, an ordinance amendment is required. Data centers meet the type of industry, tax base, and job/economic base for use in this district. This process allows the city to proactively establish development standards for data centers anywhere within the district. Examples of standards that may be included are limiting their size, maximum energy use, cooling system, noise mitigation, and buffering requirements. The city is not required to add data centers as an allowed use, and the amendment process is designed to give elected and appointed officials an opportunity to review the benefits and challenges before making a final decision. Under current zoning codes, adding data centers to the I-I district also allows their use in the I-2 zoning district.

Conditional Use Permit Application

The Elk River Vision

A welcoming community with revolutionary and spirited resourcefulness, exceptional service, and community engagement that encourages and inspires prosperity

The CUP application allows the city to review a specific project on a specific site. The application is reviewed against established standards within the ordinance. As a part of this process, the city would include specific conditions of approval to address potentially negative impacts of a project. These conditions must directly relate to the proposed project. With this particular application, city staff and city officials would be reviewing the project against the standards established by the ordinance amendment and the CUP process.

Public Hearing

The city recognizes that data centers have raised important questions and concerns in our region and across the state. The city is seeking input from the public as we review these applications. A public hearing is an important step in this process, and staff would like to collect questions and comments from the community to help inform the decision-making process. As data center technology is rapidly changing and can be technical at times, staff will review the feedback alongside the specific details of these applications.

The Planning Commission held a public hearing on May 26, 2026, and will address public comments from both meetings (PC & CC) during the June 23, 2026, Planning Commission meeting. The developer is also completing a noise study, which will be available for review in the June 23, 2026, Planning Commission packet and after the meeting.

Upcoming Meetings

The Planning Commission will hold another public hearing on June 23, 2026. Staff expects the Commission to make a recommendation on both the ordinance amendment and CUP applications on that date. However, the statutory review timeline does allow an additional extension to July 28, 2026, if necessary.

With a Planning Commission recommendation on June 23, 2026, the City Council meeting on July 6, 2026, would be the first opportunity for a decision to approve or deny the applications.

Financial Impact

None.

Mission/Policy/Goal

Appropriately govern in an ever-changing environment.

Attachments

1. Location Map
2. Narrative
3. Site Plan
4. Floor Plan
5. Public Comments as of 6-10-2026
6. Map of I-1 and I-2 Zones